Module 1: Marketing in the Digital Era

Welcome to Digital Marketing Strategy

This course addresses major shifts in consumer behavior since the emergence of e-commerce, and the fundamentals of how to acquire new customers, engage with current customers, allocate your marketing budget, measure the effectiveness of your marketing spend, and ultimately create and capture value.

The course has six modules. Module 1 covers how marketing has changed in the digital era. Module 2 addresses how to craft a digital marketing plan. Modules 3 and 4 focus on how you can acquire customers using paid, owned, and earned media. Module 5 examines how you can engage and retain customers. And Module 6 looks closely at measurement and budget allocation issues. The course ends with a look at the future of marketing.

The Rise of DTC Brands

Direct to consumer (DTC) brands bypass traditional retail channels and sell their products directly to consumers. Instead of advertising through television and print media, DTCs utilize digital and social marketing tools to acquire and engage consumers.

DTC brands have emerged by exploiting the shifts in how consumers engage with brands through digital channels and online communities, and how they shop through e-commerce. As DTC companies connect through digital means, established companies are also considering how they should market in these digital channels to compete.

DTC Brands: Innovations and Challenges

Much of the success of DTC brands is due to their reinvention of parts of the **value chain**. To understand the innovations and challenges of DTC businesses and how they might change the practice of marketing, we're going to take a value chain approach.

Value chain refers to the specific progression of activities of a business in delivering a good or service to its consumers. Understanding how DTC companies add value to their products at different points in the process helps us understand how the digital era is changing the ways that companies design, create, and most significantly, market their products.

Value Chain

To examine DTC companies, we will represent the value chain as five stages: **1) getting customer insights, 2) doing R&D (research and design), 3) manufacturing products, 4) marketing and distributing products, and 5) creating great customer experiences**. We'll assess how traditional brands have historically approached these functions and learn how DTC businesses approach them differently, allowing us to evaluate the pros and cons of both approaches.

Stage 1: Customer Insight

Traditional brands gather customer insights through focus groups and surveys in large random samples. These methods can be time-consuming and expensive. By contrast, **DTC companies monitor consumers' actual purchase behavior which provides a more accurate view on consumer preferences.**

Some methods for how DTC companies gains customer insight include launching a website even before they creates a product to gauge customer interest; using Google search and Amazon purchase data to get a sense of what is trending in consumers' minds and what they're looking for; and gaining insight through social media influencers with large followings.

DTC Customer Insight	
Innovations	**Challenges**
● Google Trends and social media conversations highlight what is on the minds of consumers. ● Purchase data from Amazon provides real-time trends rather than purchase intentions. ● Insights from the community of consumers are generally better than those obtained from surveys. ● DTC founders' own frustration with current products can reflect unmet needs of similar demographics.	● Initial response with, even a thousand fans, doesn't tell you the size of mass market because these fans are not a random sample of the population. ● Using pre-launch sites or fans' feedback may be well suited for launching a brand, but they may not scale well. ● Trends captured through these approaches may only reflect short-term consumer interests.

Stage 2: R&D and Product Design

The next stage of the value chain is **research and development (R&D) and product design.** Typically, DTC brands have almost no budget for R&D, so instead of focusing on adding new features, many DTC companies attempt to simplify them. DTCs have a very agile approach to testing new products. They get quick feedback from customers and use that feedback to improve product design and create products that appeal to their audience.

This brings up an important point about product design: **there is a fundamental difference between features and benefits.** A **feature** is created in the R&D process, but a **benefit** is what the customer really wants and receives from the product. Instead of focusing on product features, a DTC company focuses on customer benefits.

Differentiation for DTC brands might come from their mission, their responsiveness to customers in creating their products, their unique delivery, or their exceptional service. The downside to this approach is that there typically is no fundamental innovation in the product, so, as a result, it's relatively easy for other new players to launch a similar brand.

DTC R&D and Product Design	
Pros	**Cons**
● Significantly smaller budget requirement compared with traditional brand methods ● An agile approach to test, learn, and launch new products ● A focus on product design that appeals to target audience ● Differentiation on product design and customer experience	● A lack of fundamental product innovation, which may lead to less differentiation in the long run ● Low barriers to entry without unique proprietary technology or patent

Stage 3: Production and Manufacturing

Traditionally, large companies owned their manufacturing facilities, but **most DTC firms outsource manufacturing to third parties**. Outsourcing is less capital-intensive. You don't have to build a factory. It's also easier for a startup with limited volume to avoid heavy fixed cost, which helps when you have limited resources.

Outsourcing also helps DTC brands adapt very quickly to changing market conditions without any major capital investment. From a marketing perspective, the ability to respond to market changes quickly allows these companies to respond to consumer wants and needs with agility—a true value-add for consumers.

Production and Manufacturing	
Outsource Advantages	**Own Factories Advantages**
● Outsourcing manufacturing is less capital intensive.	● Better quality control is possible.

• A variable cost model is advantageous when resources are limited. • Changing designs and adapting to market conditions is easier. • Using an on-demand model, brands can create demand without carrying inventory.	• There is a reduced risk from supply chain disruptions. • Proprietary innovation can be produced and protected.

Stage 4: Marketing and Distribution

DTC brands are more inclined to use digital channels to reach consumers than to use advertising on television or in print. They know who their consumers are and interact with them directly. They can target potential customers through audiences that have similar traits to their current customers. This targeted advertising is more efficient and more effective. It's also more measurable because you can measure the effectiveness of a digital ad based on the number of clicks.

Digital marketing has its benefits, but it also has its limitations. It is very good for what is called **performance marketing: a marketing tactic where brands pay marketing service providers for meeting specific targets.** This tactic is usually considered to be short-term and centered on measurable results. When people are ready to buy, they do an internet search, click on a particular ad, and buy the product. It's simple.

However, performance marketing is not ideal for building iconic brands and creating a story around the brand. Another challenge with digital marketing is that the **cost of customer acquisition** has gone up tremendously over time. **The customer acquisition cost (CAC) is the money you spend to win a new customer who buys your product or service.**

DTC Marketing	
Innovations	Challenges
• Digital channels are less expensive to start than traditional channels such as TV, resulting in a lower barrier to entry. • Potential customers can be targeted more precisely. • Consumer traffic and click data can yield new insights. • Performance marketing is measurable.	• Over-reliance on performance marketing may come at the expense of building brand because of focusing too heavily on short term results and measurability. • Digital channels are becoming more expensive. • There is a risk of losing synergy with offline channels by focusing too much on digital channels.

As for **distribution,** traditional brands historically focused on gaining shelf space with big retailers. DTC brands circumvent retailers by distributing their product directly to consumers.

Online platforms substantially changed the possibilities for product distribution. Traditional brands often invested in their own distribution facilities and sold their products through physical retail channels. In contrast, many DTC brands distribute their products directly to consumers without building their own logistics infrastructure.

Several **third-party logistics services** have emerged in recent years to serve DTC brands. Without a retailer, DTCs save margins that the retailer would take and are able to pass some of those savings to customers. Direct distribution allows these brands to have a direct relationship with their customers, and they know more about their customers than they would through the data they would get from a retailer.

There are, however, some **benefits of brick-and-mortar stores** for DTC businesses. First, e-commerce is still a limited part of overall commerce. Many people still shop in physical retail spaces. Second, as online competition increases, the cost of acquiring new customers through channels like Facebook and Google increases significantly. Third, a retail store becomes another way to showcase the product and acquire customers. Many consumers want to see, touch, and experience the product. For these reasons, many DTC brands that start with only online distribution, begin distributing in retail channels as they scale.

Direct Distribution	
Pros	Cons
● There are no retail barriers to entry. ● There are no retail margins and some of those savings are passed to the consumer. ● A direct customer relationship is created instead of the retailer owning the data and customer relationship.	● While direct distribution eliminates retail margin, firms still need to pay the cost for customer acquisition, inventory, shipping etc. ● Offline channels may be needed to capture a larger share of the market ● As a brand scales, retail channels may be less costly than online channels for acquiring customers ● Losing out on experiential component of touch and feel that may lead to lower purchases and higher product return

Stage 5: Customer Experience

The final part of the value chain has to do with the **overall interaction that a consumer has with a brand: the customer experience**. Direct access to consumers helps DTC brands learn about their consumers' behavior and identify changes quickly. With this information, they can refine their product, improve their website, and respond to consumer complaints and concerns, thereby providing a better customer experience.

Because DTC brands are technology-savvy, they're generally very good at creating a better user experience and better service through no-hassle returns, better graphics, and better product design. DTC brands are also able to build a community of consumers that adds value over and above the product.

How DTC Companies Adapt to Scale

As DTC companies scale, there are a few strategies they can employ:

- One strategy is to **expand their product line** to include adjacent products. In this way, they leverage their existing customer base to sell additional products and reduce the cost of acquiring new customers.
- Another approach is to acquire or launch multiple brands to **create a house of several brands**. This strategy allows them to cross-sell different brands to the same customer.
- A third strategy is to **build multi-brand marketplaces**, where companies sell not only their own brand, but also other DTC brands—offering them exposure and support.

How Traditional Brands Respond to the Rise in DTCs

DTC companies have changed the practice of marketing and pose a significant challenge to established brands. There are a few options for how long-standing brands can respond to this competition.

Acquire DTCs

There are many possible reasons for traditional companies to acquire DTC brands. One key reason could be to simply acquire the customers of the DTC brand, which would give the company access to a large number of customers, and it might also offer access to consumer data. Acquisition of a DTC brand may allow traditional companies to enter a new category they have been trying to enter.

However, there are a lot of risks involved with acquiring a DTC brand, which means it may not always be a wise decision for a larger company. From a marketing perspective, the company may struggle to appeal to the customers of their newly acquired DTC brand and may find it hard to make the DTC brand profitable.

Build a DTC Brand

Many traditional companies are creating in-house accelerators and incubators to create their own DTC brands, but there are challenges that a large company might face if they plan to launch DTC brands in-house.

- The first is the threat of **cannibalization**. A company could unintentionally create competition for its current business.
- The second challenge for big companies is that they're used to building billion-dollar brands. A new DTC brand is not going to move the needle for a large company and as a result may not get enough **resources**.

- The third challenge is **profitability**. Large companies are used to assessing projects based on their potential return on investment (ROI). Most DTC brands and the venture capitalists (VC) who fund them prioritize growth over profitability.

Adapt and Learn from DTCs

Instead of acquiring or developing DTC brands, established brands could instead learn from the way DTC brands have innovated across the value chain. They can combine these new approaches (e.g., direct distribution, agile test and learn, new ways to get customer insights) with their existing strengths, such as a large customer base, high brand awareness, deep pockets, and extensive distribution systems. For an established brand to make the DTC approach work, it needs to build a process that leverages its strengths and scale this process across a large number of brands and countries.